Globalisation and the Indian Economy

The big idea

Your phone may be designed in the USA, assembled in China and sold in India; your shoes may be made in Vietnam for a European brand. Markets and production across countries are becoming **interconnected**. This process is **globalisation**. This chapter explains the role of **multinational corporations (MNCs)**, **foreign trade**, the **factors** that enabled globalisation, the role of the **WTO**, and the effects of globalisation on India, along with the need for **fair globalisation**.

Production across countries and MNCs

Until the middle of the twentieth century, production was largely organised within countries; what crossed boundaries were raw materials, food and finished products. Colonies exported raw materials and imported finished goods. Trade was the main channel connecting distant countries.

MULTINATIONAL CORPORATION (MNC)

A company that **owns or controls production in more than one nation**. MNCs set up offices and factories for production in regions where they can get **cheap labour and other resources**, so that the cost of production is low and they earn greater profits.

Example of spreading production: a large MNC producing industrial equipment designs its products in research centres in the **USA**, has components manufactured in **China**, ships them to **Mexico and Eastern Europe** where products are assembled, and sells them all over the world; its customer care is carried out through call centres in **India**.

Where MNCs set up production: close to **markets**; where there is **skilled and unskilled labour at low cost**; and where availability of other factors of production is assured. They also look for **government policies** that look after their interests.

Interlinking production across countries

INVESTMENT AND FOREIGN INVESTMENT

- **Investment**: money spent to buy assets such as land, building, machines and other equipment.
- **Foreign investment**: investment made by MNCs.

MNCs interlink production in several ways:

1. **Joint production with local companies**: the MNC provides money for additional investment (e.g., faster machines) and brings the latest technology. Example: **Ford Motors**, an American company, came to India in **1995** and spent ₹1,700 crore to set up a large plant near **Chennai** in collaboration with **Mahindra and Mahindra**, a major Indian manufacturer of jeeps and trucks.
2. **Buying up local companies**: the most common route to quick expansion. Example: **Cargill Foods**, a very large American MNC, bought over the smaller Indian company **Parakh Foods**, which had built a large marketing network and a well-respected brand. Cargill became the largest producer of edible oil in India.
3. **Placing orders for production with small producers**: e.g., garments, footwear and sports items are produced by small producers around the world, and the products are supplied to MNCs, which sell them under their own **brand names** to customers. These large MNCs have tremendous power to determine **price, quality, delivery and labour conditions** for these distant producers.

Foreign trade and integration of markets

Foreign trade creates an opportunity for producers to reach **beyond the domestic markets**. Producers can sell their produce not only in markets located within the country but also compete in markets in other countries. Similarly, for buyers, imports of goods from another country expand choice beyond domestically produced goods.

CHINESE TOYS IN INDIA

Chinese manufacturers learnt of an opportunity to export toys to India, where toys were sold at a high price. Plastic toys from China, being cheaper and of new designs, became popular in Indian markets. Within a year, 70 to 80 per cent of the toy shops replaced Indian toys with Chinese toys. **Buyers** got more choice at lower prices; **Chinese toy makers** expanded business; but **Indian toy makers** faced losses as their toys sold much less.

Effect of foreign trade: as a result, **prices of similar goods in two markets tend to become equal**, and producers in the two countries now closely compete against each other even though they are separated by thousands of miles. **Foreign trade thus results in connecting the markets** or integration of markets in different countries.

GLOBALISATION

The process of **rapid integration or interconnection between countries**. MNCs play a major role. More and more goods and services, investments and technology are moving between countries; there is also some (but restricted) movement of people between countries in search of better income, jobs or education.

Factors that have enabled globalisation

1. **Technology**: rapid improvement in **transportation technology** has made much faster delivery of goods across long distances possible at lower costs

(e.g., containers for transport of goods). Even more remarkable are developments in **information and communication technology**: telecommunications (telegraph, telephone, mobile phones, fax), computers and the **internet** make it easy to contact one another around the world, access information instantly and communicate from remote areas. For example, a news magazine in London can be designed and printed in Delhi, with text sent over the internet.

2. **Liberalisation of foreign trade and foreign investment policy**: a **trade barrier** is a restriction set up by the government, e.g., a **tax on imports**. Governments use trade barriers to increase or decrease (regulate) foreign trade and to decide what kinds of goods and how much of each should come into the country. After independence, the Indian government put barriers to foreign trade and investment to **protect producers** within the country from foreign competition; industries were just coming up in the 1950s and 1960s. Starting around **1991**, some far-reaching changes in policy were made in India: the government decided that the time had come for Indian producers to compete with producers around the globe. Barriers on foreign trade and investment were removed to a large extent. **Removing barriers or restrictions set by the government is called liberalisation.**
3. **World Trade Organisation (WTO)**: an organisation whose aim is to **liberalise international trade**. Started at the initiative of the developed countries, the WTO establishes **rules regarding international trade** and sees that these rules are obeyed. About **164 countries** of the world are currently members of the WTO (as of 2016). Although the WTO is supposed to allow free trade for all, in practice the **developed countries have unfairly retained trade barriers**. For example, developing countries are forced to remove barriers, while the **US government gives massive subsidies to its farmers** (e.g., cotton farmers), so they can sell at low prices, harming farmers in developing countries. Developing countries are therefore demanding fair trade rules.

Impact of globalisation in India

Positive effects:

- Greater **choice for consumers**, who now enjoy improved quality and lower prices for several products, especially the well-off sections in urban areas.
- **MNCs have increased their investments** in India over the past 20 years: industries such as **cellphones, automobiles, electronics, soft drinks, fast food** and services such as **banking** in urban areas. New jobs have been created; local companies supplying raw materials to these industries have prospered.
- Several top Indian companies benefited from increased competition: they invested in newer technology and production methods and raised production standards; some gained from successful collaborations with foreign companies.
- Some large Indian companies have emerged as **multinationals** themselves: **Tata Motors** (automobiles), **Infosys** (IT), **Ranbaxy** (medicines), **Asian Paints** (paints), **Sundaram Fasteners** (nuts and bolts) are spreading operations worldwide.
- New opportunities for companies providing **services**, especially those involving IT: e.g., an Indian company producing a magazine for a London company, and call centres.

Special Economic Zones (SEZs): industrial zones set up by the government to attract foreign companies to invest in India. They have world-class facilities: electricity, water, roads, transport, storage, recreational and educational facilities. Companies that set up production units in SEZs do not have to pay taxes for an initial period of five years. The government has also allowed **flexibility in labour laws** to attract foreign investment.

Negative effects / challenges:

- Globalisation and the pressure of competition have substantially changed the lives of workers. Faced with growing competition, most employers now prefer to employ workers **flexibly**: workers' jobs are no longer secure.
- **Small producers** have been hit hard by rising competition. Several units shut down, rendering many workers jobless. Industries such as **batteries,**

capacitors, plastics, toys, tyres, dairy products and vegetable oil are examples where small manufacturers were badly hit.

- Benefits have **not been shared equally**: well-off, educated, skilled and wealthy producers gained, while many small producers and workers suffered.

GARMENT WORKERS

A garment exporter facing competition from MNC buyers cuts labour costs: workers are employed on a **temporary basis**, work long hours (including night shifts during peak season), get **low wages**, and have no job security, while the MNC earns large profits.

The struggle for fair globalisation

FAIR GLOBALISATION

Globalisation that creates **opportunities for all** and ensures that its **benefits are better shared**. The government can play a major role:

- Ensure that **labour laws are properly implemented** and workers get their rights.
- **Support small producers** to improve their performance until they become strong enough to compete.
- If necessary, use **trade and investment barriers**.
- **Negotiate at the WTO for 'fairer rules'** and align with other developing countries to fight against the domination of developed countries in the WTO.
  People's organisations and campaigns have also influenced important decisions related to trade and investment at the WTO.

LIBERALISATION VS GLOBALISATION

Liberalisation is the removal of government restrictions on trade and investment (a policy, from 1991 in India). **Globalisation** is the wider process

of integration between countries; liberalisation is one of the **factors** that enabled it.

BOARD FAVOURITES

"What is an MNC? How do MNCs control production?" (3 marks), "How does foreign trade integrate markets?", "Factors enabling globalisation" (5 marks), "Role of WTO and why it is criticised", "Impact of globalisation on India", "What is fair globalisation and the government's role?", "What are SEZs?". Use the Ford–Mahindra and Cargill–Parakh examples.

Quick recap

- MNC: owns or controls production in more than one nation; seeks cheap labour, markets and supportive policies.
- MNCs interlink production via joint ventures (Ford with Mahindra, 1995), buying local firms (Cargill bought Parakh), and orders to small producers.
- Foreign trade integrates markets; prices tend to become equal across countries.
- Factors: technology (transport, IT), liberalisation (India from 1991), WTO (about 164 members).
- Impact: more choice, new jobs, Indian MNCs (Tata Motors, Infosys); but small producers and workers hit, insecure jobs.
- Fair globalisation: enforce labour laws, support small producers, fairer WTO rules.

Practice questions

1. A company that owns or controls production in more than one nation is called a
   (a) public sector undertaking (b) cooperative (c) multinational corporation (d) self-help group
2. Ford Motors set up its plant near Chennai in 1995 in collaboration with
   (a) Tata Motors (b) Mahindra and Mahindra (c) Maruti Udyog (d) Bajaj Auto
3. Cargill Foods became the largest producer of edible oil in India by
   (a) placing orders with small producers (b) setting up a joint venture with the government (c) importing oil from the USA (d) buying up the Indian company Parakh Foods
4. A tax on imports is an example of
   (a) a trade barrier (b) liberalisation (c) foreign investment (d) globalisation
5. Which of these was NOT a factor that enabled globalisation?
   (a) Improvement in transport technology (b) Information and communication technology (c) Liberalisation of trade and investment (d) Increase in trade barriers on imports
6. Which industry is an example where small Indian producers were badly hit by globalisation?
   (a) Software services (b) Cellphones (c) Toys (d) Automobiles
7. The WTO is criticised because
   (a) it has no member countries (b) it bans all foreign trade (c) developed countries have unfairly retained trade barriers while forcing developing countries to remove theirs (d) it is run only by developing countries
8. How does foreign trade lead to integration of markets across countries? Explain with an example.
9. What is fair globalisation? How can the government ensure it?

Answers: 1. c 2. b 3. d 4. a 5. d 6. c 7. c 8. see notes 9. see notes